

Case Studies

Let's look at some case studies of 100-baggers. This is a way to capture, most vividly, what it took to get to 100x.

For these case studies, I had some help from analysts at Agora Financial: Alejandro Lopez de Haro, Matthew Goodman (a.k.a. "Yoda") and Thompson Clark. You'll meet them below.

Monster Beverage

We'll start with a deep look at Monster Beverage, the famous maker of energy drinks and other beverages. Monster became a 100-bagger in under 10 years. It hit the mark in 2006 and kept on going, turning into a 700+-bagger by the end of 2014.

Yoda, one of the three analysts I mentioned above, prepared a case study on Monster. The story starts with a pair of immigrant entrepreneurs.

Hilton Schlosberg and Rodney Sacks came to California from South Africa.

Both would become billionaires.

Hilton and Rodney paid \$14.5 million for Hansen's Natural Soda and Apple Juice in 1992, Yoda reports. Hansen's had a long history going back to the 1930s. What started as a business to sell fresh unpasteurized juices was ironically later turned into a business that sold shelf-stabilized pasteurized juices by the founder's grandson.

Hansen's had no best-selling product. It barely even had distribution in much of the country. But Hilton and Rodney wanted it to become a marketing and branding corporation, with no in-house manufacturing — like Coca-Cola. As early as their 2001 proxy, they made clear that "the company is concentrating on marketing carbonated functional drinks, in particular, energy drinks."

"Their initial launch of Hansen Energy quickly became popular but flamed out as Red Bull became the force we know today," Yoda writes. "It left Hansen in the dust but provided some lessons that would later propel some of their finest decisions."

For one thing, they decided to slim down their offerings. In 1999 and 2000, the list of products they had was almost absurd, as Yoda